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The race is on for Collaborative Combat Aircraft

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The airframe takes flight, but software may win the fight

Collaborative Combat Aircraft (CCA) are moving rapidly from experimentation towards procurement, creating a significant market across airframes, autonomy, sensors and propulsion. However, software could become the principal differentiator, determining how effectively CCAs interpret threats, collaborate with crewed aircraft and coordinate missions. The decisive step came in June 2026, when the US Air Force awarded Increment 1 production contracts to General Atomics' FQ-42 and Anduril's FQ-44, supporting more than 150 combat-capable aircraft by end-decade. Increment 2 is already under concept refinement, potentially advancing up to six designs in 2027. The USAF has separated mission-autonomy software from aircraft procurement, which should enable competing software stacks to operate across airframes, accelerate upgrades and reduce vendor lock-in. While range, payload and survivability remain critical, software performance under complex or communications-degraded conditions could ultimately determine combat effectiveness and lifecycle value.

Europe is responding by combining accelerated platform development with sovereign mission systems. Germany could become Europe's most contested near-term market. Boeing's MQ-28 Ghost Bat proposal would position Rheinmetall as national systems integrator, while Helsing's CA-1 Europa combines a European airframe and Centaur AI with Hensoldt sensors, self-protection and electronic-warfare systems. The Airbus-Kratos Valkyrie follows a hybrid approach, combining a proven US airframe with Airbus' European MARS mission system. Germany is also considering larger Airbus concepts, General Atomics' Gambit and lightweight remote carriers such as Diehl's FEANIX, suggesting future fleets could combine reusable CCAs with cheaper sensor, jamming and effector swarms.

The UK launched its £300 million StormFighter programme in July, targeting autonomous aircraft operating alongside Typhoon, F-35 and eventually Tempest. BAE subsequently unveiled Brontanax with first flight planned for 2027 and potential availability before 2030. France is progressing through Dassault's stealth UCAV for Rafale F5 and a broader CCA information request. Overall, the CCA market is unlikely to be a winner-takes-all. Multiple airframes and mission types should support platform primes and specialist suppliers, but the greatest strategic value may accrue to providers of autonomy software, sovereign systems integration, sensors and electronic warfare.

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Table Of Contents

Company news of interest....3
Airbus (Buy, PT: €232)....3
BAE Systems (Hold, PT: 2,325p)....4
CSG (Buy, PT: €25)....6
Dassault Aviation (Hold, PT: €330)....6
Hensoldt (Buy, PT: €105)....7
Leonardo (Buy, PT: €72)....7
MTU Aero Engines (Buy, PT: €435)....8
OHB (Buy, PT: €275)....8
Rolls-Royce (Buy, PT: 1,705p)....9
Safran (Buy, PT: €398)....9
Thales (Buy, PT: €296)....10

From our stable....13
Our recent reports....13
Sector/thematic reports....15

EPS estimate revisions....16
EPS estimate revisions for European A&D stocks....16
EPS estimate revisions for US A&D stocks....16

A&D stock trading multiples....17
Europe A&D trading multiples....17
US A&D trading multiples....19

A&D share price performance....20

A&D sector valuation....21
Valuation table – listed major European A&D companies....21
Valuation table – listed major US A&D companies....22
Absolute and relative share price performance – European A&D stoc....23
Absolute and relative share price performance – US A&D stocks....24

Company news of interest

Below, we provide important sector news items relevant to our coverage universe. We select these stories and present them by company, along with our views.

Airbus (Buy, PT: €232)

Jet fuel prices surge on supply concerns

Global jet fuel prices have resumed their upward trend, driven by logistics bottlenecks and rising Brent crude, which climbed over 10% in a week. The European surge is heavily influenced by rising gas oil futures, Ukrainian strikes on Russian refineries, and shipping constraints on the Rhine River. While prompt European availability remains stable, current inventories remain 37% below last year's levels. In Asia, jet-kerosene prices are rising as prospects of a U.S.-Iran deal to secure the Strait of Hormuz fade, though high exports from South Korea and China help offset regional spikes. Analysts warn that any further Middle Eastern or logistics disruptions could quickly exhaust global supplies. (Source: Cirium)

Our view: *This surge in oil prices could have a negative read-across on MRO players, as it increases the near-term pressure on airline profitability, with jet-fuel prices already having remained elevated and volatile through 2026. Recent airline results showed that fare increases recovered only part of the higher fuel bill, prompting airlines to reduce earnings expectations, while sustained fuel pressure could weaken cash generation and increase aircraft-deferral and cancellation risk among less resilient carriers. The low inventories also raise the risk that another logistics or geopolitical disruption causes a much sharper price spike.*

Airbus joins probe into Air India flight plunge, captain tests positive for drugs

Airbus has dispatched technical specialists to New Delhi to assist with the August 4, Air India A320neo mid-flight plunge probe alongside France's BEA safety agency. The investigation took a critical turn when according to sources confirmatory laboratory tests revealed the flight's captain tested positive for marijuana, resulting in both pilots being grounded. The official investigation remains ongoing, and authorities are still examining both human factors and possible technical issues before assigning cause. (Source: Reuters, Bloomberg)

Our view: *This remains neutral for now but given the JetBlue A320 altitude-loss incident that led to widespread corrective action in late November and early December 2025, the key question is whether investigators find any related flight-control issue despite the earlier measures. The reported positive drug test increases the likelihood of a crew-related contribution, but investigators are also examining possible aircraft-system issues and have cautioned against conclusions from isolated evidence. Airbus's involvement is standard for a serious incident involving its aircraft and does not imply a design/technical fault.*

China's answer to Boeing and Airbus prepares to make first international flight

China's state-owned Comac C919 is scheduled to make its first commercial international flight from Beijing to Ulaanbaatar, Mongolia, on 12 August, marking a public relations milestone in China's bid to challenge the global Airbus-Boeing duopoly. Although the narrow-body jet has operated domestically since 2023, it

faces steep hurdles to international success. The C919 has yet to receive certification from U.S. or European regulators, and its supply chain remains highly vulnerable, with over half of its suppliers based in the U.S. Production also lags, with Comac delivering only 15 of its targeted 75 aircraft last year. (Source: Bloomberg)

Our view: *This remains largely neutral for now for Airbus. The first scheduled international C919 service is a symbolic rather than an immediate threat to Airbus. The flight improves Comac's operational credibility though Comac remains constrained by low production volumes, reliance on Western components and the absence of European or US certification, limiting its addressable market. The C919 is nevertheless a credible longer-term threat in China, where government support could progressively shift domestic orders away from Airbus and Boeing, though recent orders to Airbus show that scenario is still in the distant future. For Safran, the read-across is positive in the near term through CFM's LEAP-1C engine content, although China's longer-term objective remains greater propulsion independence.*

Europe increases size and cost of IRIS^2 constellation

The European Commission completed negotiations with the SpaceRISE consortium to advance the IRIS^2 secure connectivity constellation, with launches scheduled to begin in 2029. To enhance defence and security capabilities, the EU added 66 satellites to the high-LEO shell, keeping the MEO shell at 18. This expansion will boost secure government network capacity by over 60% within the EU. However, these changes have driven the program's cost up by 47% to €15.6 bn, a substantial increase from the €10.6 bn estimate in late 2024 and an initial €6 bn projection. SpaceRISE will fund €4bn, while the Commission and ESA provide €11.6bn. The deficit will be bridged through the EU's 2028-2034 financial framework and national commitments. (Source: SpaceNews)

Our view: *The expansion is positive for all the participants but the 47% cost increase creates an additional risk. Airbus, Thales, Leonardo and OHB should benefit through their roles in satellite manufacturing, secure communications, payloads, ground-infrastructure and service opportunity. However, the reliance on the EU's 2028-34 budget and additional national contributions means part of the expanded scope is not yet fully funded, leaving potential for delays, scope adjustments or tougher commercial negotiations.*

BAE Systems (Hold, PT: 2,325p)

BAE Systems, Tualcom agree to explore autonomous defense technologies

BAE Systems, through its FalconWorks advanced research division, has signed an MoU with Turkish electronics firm TUALCOM to collaborate on next-generation autonomous air technologies. This strategic partnership establishes a joint framework to integrate resilient RF communications, electronic warfare, and assured navigation systems into future unmanned aircraft platforms. These technologies are designed to operate effectively in highly contested or degraded battlespaces. Reflecting the growing aerospace and defence ties between the UK and Turkey, the collaboration targets domestic and global export markets. (Source: Company)

Our view: *This is strategically positive for BAE as TUALCOM's expertise in anti-jamming, assured navigation and resilient communications addresses a critical requirement for autonomous aircraft operating in GPS-denied and electronically*



contested environments. The partnership should complement BAE's investments in Brontanax and broader collaborative combat-air technologies, while increasing potential access to Turkish and export markets. This also comes, as the country has ordered 20 Eurofighter Typhoon in December 2025. Of note, Turkey has positioned itself as one of the leaders in drone technologies, via Baykar and Tualcom, among other players. Baykar also recently signed a contract in Saudi Arabia for the provision of Akinci drones for a total value estimated at $3bn.

Golden Dome money starting to reach contractors, but long-term funding still unclear

The Pentagon's $185bn "Golden Dome" missile defense initiative faces a severe FY2027 funding gap, with only $400m of its $17.5 billion budget request included in the base defense budget; the remainder sits in a contested $350bn reconciliation bill. Despite this risk, the program has committed 95% of its initial $22.5bn allocation, initiating classified site construction scheduled for completion by the end of 2027, ahead of a planned 2028 operational demonstration. Major defense primes, including Northrop Grumman, L3Harris, and Lockheed Martin along with component suppliers like Teledyne, are actively securing contracts for satellite sensors, interceptors, and directed-energy weapons. (Source: SpaceNews)

Our view: *This is mixed for BAE as contracts are getting awarded and BAE already secured an $11.8m Link-182 satellite-communications demonstration contract and a position on the broader SHIELD contracting vehicle. In June 2025, it also secured the $1.2 billion Epoch 2 Resilient Missile Warning & Tracking programme, which will provide a 10 satellite MEO constellation and ground command and control system. Epoch 2 is considered the primary tracking layer for the Golden Dome. BAE completed the preliminary design review in H1-26. However, the FY2027 funding structure creates a significant timing risk, with only $400m of the requested $17.5bn included in the base budget and the remainder dependent on a contested reconciliation package. Golden Dome could become a meaningful long-term opportunity for BAE's US space, electronics and missile activities, but current awards remain small and we would not assume material upside until more durable multiyear funding is approved and bigger contracts are awarded.*

UK launches Hawk replacement battle with industry engagement phase

The Royal Air Force (RAF) is seeking to replace its obsolete BAE Hawk T1/T2 trainers due to critical availability shortages, largely caused by failures in the Adour Mk-951 engines. In response to the UK Ministry of Defence's Request for Information, several competitors are vying for the contract. BAE Systems, partnering with Boeing and Saab, is the favorite, offering the T-7 "Red Hawk" alongside a commitment to establish a dedicated UK industrial site. Other key contenders include Leonardo with the M346 Master, KAI's T-50, and Turkish Aerospace Industries' Hürjet, which is bolstered by strong bilateral ties following Turkey's £8 billion order for 20 Eurofighter Typhoons in 2025. (Source: Opex360)

Our view: *The competition is meaningful for both BAE Systems and Leonardo but remains at an early stage with both platforms being aligned for future GCAP training. BAE's T-7 offers modern digital architecture and a strong UK industrial proposal, including domestic final assembly, but remains less operationally mature. Leonardo's M-346 is already in service, familiar to RAF pilots through the International Flight Training School and is being upgraded under Block 20 for fifth and sixth-generation training. Overall, BAE appears better positioned if UK workshare dominates the decision, while Leonardo could prevail if aircraft maturity, availability and speed of introduction are prioritised. Leonardo could also compete on the UK industrial*

proposal, having a strong industrial footprint in the country.

CSG (Buy, PT: €25)

CSG, Dezamet Sign Deal of Over €100m for Ammo Components Supply

CSG and PGZ subsidiary Dezamet signed a contract worth over €100 million for the supply of pyrotechnic fuse components used in manufacturing 155 mm artillery ammunition. Built on years of technology transfer from CSG, this cooperation enables Dezamet to mass-produce artillery rounds, including those for Poland's Krab self-propelled howitzers. This production feeds into major Polish procurement programs and highlights the regional influence of CSG. (Source: Bloomberg)

Our view: *This is positive for CSG, although the contract was signed on 24 July and has only recently been disclosed. The more than €100m value is meaningful and provides CSG with recurring exposure to Poland's expanding 155mm ammunition production. The agreement also demonstrates that previous technology transfer to Dezamet are not preventing CSG from continuing to benefit financially from its exposure to the Polish market, as it remains embedded in the local supply chain while Polish production scales. The key outstanding details are the delivery timeline and margin profile, but the contract reinforces CSG's position in a structurally undersupplied European ammunition market.*

Dassault Aviation (Hold, PT: €330)

India intends to participate in a French-led next-generation fighter jet project, negotiations for 114 Rafale set to begin

Following the end of the French-German-Spanish partnership on the New Generation Fighter, India's Ministry of Defence has initiated steps to join the French-led Future Combat Air System (SCAF) program to counter regional threats from China. This strategic alignment is bolstered by expanding bilateral defence ties, highlighted by a pending €30+ billion deal for 114 additional French Rafale F4 fighters. On August 6, France submitted a detailed commercial proposal answering New Delhi's "Make in India" requirements, which mandate that 94 of the 114 jets be assembled domestically with at least 50% Indian components and integrate local weaponry. If finalized alongside previous naval orders, India's total Rafale inventory would reach 176 aircraft, solidifying France as India's primary aerospace defence partner. (Source: Opex360)

Our view: *This is potentially very positive for Dassault Aviation, although both elements remain subject to final confirmation. On the 114-aircraft Rafale order, the incremental development is France's submission of a detailed technical and commercial proposal, moving the process into negotiations over final pricing, precise workshare, technology transfer, configuration and delivery schedules. A firm contract would still be highly positive for Dassault Aviation by materially extending Rafale production visibility, with Safran, Thales and MBDA also benefiting through engine, radar, avionics and weapons content. With this contract , Rafale production would move from 4 to 5 per month, I our view. Indian participation in a French-led next-generation fighter programme would be strategically important because it could provide funding, engineering resources and a large future customer. The key risk is that negotiations over workshare, intellectual property and sovereign design authority replicate the governance difficulties experienced by previous multinational fighter programmes, but the risk is low, considering the historical Franco – Indian partnership In fighter jets.*

Hensoldt (Buy, PT: €105)

Boeing and Rheinmetall Accelerate Germany's Path to Collaborative Combat Aircraft Capabilities

As global air forces transition Collaborative Combat Aircraft (CCA) from concept to reality, Germany is positioning to build rapid, sovereign strike-fighter drone capabilities by 2029 using Boeing's mature MQ-28 Ghost Bat platform. Backed by flight-test data from the Royal Australian Air Force and successful deployment in multinational exercises like Exercise Valiant Shield, the MQ-28 is currently the only mature strike-fighter drone of its kind. To facilitate immediate integration without lengthy development cycles, Boeing is partnering with a German industrial consortium featuring Rohde & Schwarz, Diehl Defence, Hensoldt, and Rheinmetall, with the latter serving as the main system integrator. This collaboration ensures that critical mission software, weapon integration, and intellectual property remain locally owned. (Source: ASDNews)

Our view: *This is largely an implementation update to the Boeing-Rheinmetall partnership announced in March with Hensoldt joining in July. The incremental element is Rheinmetall's move to establish an independent German integration capability, with mission software, national technology integration and associated intellectual property retained domestically. This strengthens the MQ-28 proposal's sovereignty credentials and supports Rheinmetall's role as lead integrator, with Hensoldt positioned for sensors, mission systems and lifecycle support. However, the German competition remains open and no procurement award has been made. As a reminder, the MQ-28 is pitted against Helsing's CA-1 Europa, also done in collaboration with HENSOLDT: it is an ITAR-free European solution expected to make first test flights in early 2027. To potentially build a multi-layered, hybrid fleet of drones, Germany is also keeping several other platforms under close evaluation. These include the Airbus-Kratos XQ-58A Valkyrie, which pairs a U.S. airframe with European software, and Airbus's larger, conceptual Wingman drone. Additionally, General Atomics is promoting its YFQ-42A from its Bavarian facility, while Diehl Defence is advancing the Feanix, a lightweight, air-launched remote carrier designed for sensor and jamming swarms.*

Leonardo (Buy, PT: €72)

Space42, Leonardo Sign MoU for Secure Satellite Connectivity Collaboration

Abu Dhabi-listed AI-powered space technology company Space42 has signed an MoU with Leonardo DRS. The strategic agreement focuses on boosting the sovereign national security of the United Arab Emirates by integrating advanced military technologies. Under the partnership, Leonardo DRS will contribute its established expertise in C5ISR land electronics and mission systems. Space42 will integrate these systems with its secure, AI-enabled satellite communications. Together, the two defense entities plan to explore the joint design and implementation of next-generation integrated mission capabilities, expanding Leonardo DRS's strategic international business footprint with global partners. (Source: Bloomberg)

Our view: *This is positive for Leonardo DRS's international expansion, but remains an early-stage MoU without disclosed financial value. Combining DRS's vehicle electronics, tactical computing and C5ISR systems with Space42's sovereign satellite infrastructure could create an integrated offering for UAE land forces requiring protected beyond-line-of-sight connectivity. The partnership should*



improve Leonardo's access to a strategically important Middle Eastern customer while supporting it's broader move into networked and software-defined defence.

MTU Aero Engines (Buy, PT: €435)

Embraer firmly on course as it reports record backlog

Embraer reported record second-quarter revenue with a 10% year-on-year increase. Growth was supported by delivering 65 aircraft and a 22% revenue jump in its Defence & Security division, driven by the KC-390 Millennium aircraft. To sustain this momentum, Embraer aims to expand commercial aircraft capacity to 110–120 units annually by 2030 and is exploring establishing new KC-390 assembly lines in India and the U.S. The company's backlog hit $34.5 billion, up 16% from the same time last year and seventh straight quarter in which its backlog reached all-time highs. Company maintained its aircraft deliveries and consolidated revenue forecasts. (Source: Reuters)

Our view: *This is a positive for MTU through the GTF engines that exclusively power Embraer's E2 family and the V2500 that powers the KC-390. Embraer's record backlog and ambition to raise commercial aircraft capacity to 110-120 units annually by 2030 should support higher engine deliveries and expand the installed base available for future aftermarket revenues. It also provides another indication of returning customer confidence in the GTF platform. For Airbus, the read-across is a slightly negative with Embraer's improving execution and planned capacity expansion strengthening competition for the A220, though Airbus backlog is much larger. Separately, the KC-390's momentum and potential new assembly lines reinforce its position as a credible competitor to the A400M for medium tactical-airlift requirements, particularly for missions where the larger Airbus aircraft may be oversized.*

Wizz on track to be over GTF-related aircraft groundings by end of 2027

Wizz Air is nearing the end of its GTF engine crisis, reporting that grounded Airbus A320neo family jets fell to 27 as of June 30, 2026, down from a peak of nearly 60. The airline expects grounded aircraft to decrease to 15-20 by the end of March 2027, aiming for zero groundings by the end of 2027. To manage the capacity gap, Wizz Air extended the use of older A320ceo aircraft and received a €107 million compensation from Pratt & Whitney in quarter ending June 2026. (Source: FlightGlobal)

Our view: *This is positive for MTU and provides further evidence that the operational disruption caused by the GTF inspection programme is moving past its peak. The targeted return to zero groundings by end-2027 is consistent with the broader expectation of improving spare-engine availability and MRO turnaround times. GTF MRO currently represents over 40% of MRO activities. Improving fleet availability should rebuild airline confidence in the GTF, increase engine flying hours and support the long-term aftermarket opportunity.*

OHB (Buy, PT: €275)

Tank problem delays first RFA launch

Despite a recent testing setback at SaxaVord Spaceport that forced engineers to destack the RFA ONE rocket for tank inspections, Marco Fuchs, CEO of OHB, which owns 65% of Rocket Factory Augsburg (RFA), remains confident in a first orbital launch attempt later this year. To support development, RFA previously secured



€187 million from the European Space Agency's (ESA) European Launcher Challenge, receiving an initial €30 million installment. These funds will partially finance the RFA ONE Block 2, a 1.5-metric-ton capacity vehicle slated for a 2028 debut. Concurrently, Fuchs voiced strong support for ramping up Europe's Ariane 6 heavy-lift rocket launch rate. To fulfill regional security and civil needs, ESA is currently studying infrastructure upgrades to potentially boost Ariane 6 flight rates from the baseline of nine to ten launches annually to up to 15 or 20. (Source: SpaceNews)

Our view: *The tank issue is a setback for OHB's Rocket Factory Augsburg, but development delays are not unusual for a new launch vehicle and management continues to target a first orbital attempt during 2026. The requirement to destack the rocket adds some execution risk but offers higher potential upside from a successful RFA launch. The separate proposal to raise Ariane 6 cadence adds to similar such calls from others and is positive for Airbus and Safran through their joint ownership of ArianeGroup. This is taking place, as there are increasing public calls to increase European launcher capability, with RFA, Isar Aerospace, Avio and Arianespace best positioned to benefit.*

Rolls-Royce (Buy, PT: 1,705p)

Rolls-Royce to keep French-German Hercules fleet flying

Rolls-Royce has signed a subcontracting agreement with Sabena technics to provide dedicated engine support for the binational French and German C-130J fleet through December 2030. Part of the CAROLUS ten-year maintenance program awarded in January 2026, the deal establishes Rolls-Royce as the strategic propulsion partner. The company will deliver flight-hour-based sustainment for the AE 2100D3 turboprops under its MissionCare model. The binational squadron, activated in 2021, operates a pooled fleet of ten aircraft, comprising five C-130J transports and five KC-130J tankers, shared by French and German crews. (Source: UK Defence Journal)

Our view: *This is a modest but positive contract for Rolls-Royce, adding predictable, flight-hour-based service revenues through 2030 under its MissionCare model. The ten-aircraft fleet is too small to be financially material at group level, but the agreement reinforces Rolls-Royce's position as the strategic support provider for the AE 2100D3 and demonstrates the value of availability-based contracts in generating recurring defence aftermarket revenues.*

Safran (Buy, PT: €398)

Archer to buy Boeing's Wisk, two other units for nearly 20% equity stake

Archer Aviation has agreed to acquire Boeing's electric aircraft firm Wisk Aero, drone maker Insitu, and airspace-services provider SkyGrid, a deal that gives Boeing a 19.75% stake in the air-taxi startup. For Boeing, the transaction streamlines its portfolio to focus on core aircraft divisions while preserving access to Wisk's autonomous-flight technology via a sharing agreement. For Archer, which has yet to generate significant core revenue, the acquisition provides immediate cash flow by capturing Insitu, a profitable defense drone business generating over $200 million in annual revenue. This pivot to government and military markets offers nearer-term funding as commercial electric vertical takeoff and landing (eVTOL) certifications take longer than expected. (Source: Reuters)

Our view: *The transaction appears strategically positive for Boeing. Transferring Wisk, Insitu and SkyGrid to Archer allows Boeing to concentrate engineering resources and capital on stabilising production, completing certification and improving profitability across the 737 MAX, 777X and 787 programmes. At the same time, Boeing retains exposure to the potential upside through its 19.75% equity stake and preserves access to Wisk's autonomous-flight technology under the technology-sharing agreement. This could ultimately support Boeing's core products through advances in autonomy, flight controls, airspace integration and safety systems without requiring it to fund the full development and certification costs internally. Wisk Aero was incubated as part of Boeing's commercial/urban air mobility efforts (previously under Boeing NeXt). Wisk focuses exclusively on civil Advanced Air Mobility (AAM), developing a self-flying, all-electric vertical takeoff and landing (eVTOL) passenger air taxi. Wisk's autonomy is designed to comply with civilian FAA regulatory pathways. As such, Boeing is not losing any edge in the development of its CCAs, as Wisk Aero has not been instrumental in the development of the MQ-28 Ghost Bat.*

ESA chief warns Europe faces rocket launcher shortage by 2030

The European Space Agency (ESA) has warned that Europe faces a severe shortage of homegrown rocket launchers around the 2029-2031 peak demand window, lagging far behind the US and China. While Europe regained independent space access in late 2024 using Ariane 6 and the smaller Vega-C, domestic launch capacity remains insufficient to support upcoming satellite networks, including Galileo, Copernicus, Iris^2, and national defence constellations. To address the looming deficit, ESA is urging member states to expand launcher programs, specifically exploring plans to ramp up Ariane 6 production from its current target of nine to ten flights annually to approximately 15. Decisions on extra funding to bridge these shortages are being prioritized ahead of a 2035 strategic horizon. (Source: Bloomberg)

Our view: *This is widely known and is supportive for Airbus and Safran through their joint ownership of ArianeGroup, as the projected shortage strengthens the case for additional Ariane 6 funding and a production increase from around nine to ten launches annually towards 15. The timing is particularly relevant given the deployment requirements of IRIS^2, Galileo, Copernicus and national defence constellations from 2029 onwards. Importantly, launch availability is also becoming constrained in the US, where more than 180 launches in 2025 already placed pressure on launch sites, licensing and ground infrastructure, with some vehicle categories facing insufficient licensed capacity to meet expected demand around 2030. This creates an opportunity for Ariane 6 to capture institutional and commercial demand and reinforcing the strategic importance of maintaining autonomous European access to space. However, ramping Ariane 6 will require advance procurement of long-lead components, additional supplier investment and firm institutional launch commitments. Ariane6 alone will, however , to cover the needs for extra launches, especially as some are envisaged with a lower cost per kilo than offered by Ariane 6. Isar Aerospace and RFA are typically launchers that would need to ramp-up in the coming years to cover the entire spectrum of European launches.*

Thales (Buy, PT: €296)

Britain moves closer to buying Australian radar

UK Minister for Defence Procurement Luke Pollard and Australian Minister for Defence Industry Pat Conroy signed a declaration of intent in Canberra to cooperate



on advanced active electronically scanned array (AESA) radar systems. Built on the strategic foundation of the AUKUS pact, this collaboration will leverage the expertise of QinetiQ and Australia's CEA Technologies. The initiative focuses on the high-performance CEAFAR radar system, currently deployed on Australia's ANZAC and Hunter-class frigates. While the UK MoD has yet to detail which naval platforms will receive the radar, Australian officials highlighted that, if finalized, this agreement would mark the largest defence export contract in Australian history. (Source: Opex360)

Our view: *This is an incremental step rather than a procurement award, but it provides further evidence that AUKUS is progressing beyond submarines into broader industrial and technology cooperation. For BAE, the read-across can be positive if CEAFAR is ultimately integrated onto BAE-built UK naval platforms, although QinetiQ is currently the identified UK radar partner, so BAE's participation will need to be clarified. For Thales, the development is potentially negative if CEAFAR displaces its radar products on future UK platforms, although no target platforms or firm orders have yet been identified.*

Thales to equip US Marine Corps amphibious assault vehicles with Minerva cameras

The Pentagon has awarded Thales a contract to supply over 400 SharpView-Minerva cameras to modernize the U.S. Marine Corps' Amphibious Combat Vehicle Personnel (ACV-P) and Command (ACV-C) units. Designed and produced by Thales Canada, the Minerva camera integrates a compact, high-definition 1280×1024 uncooled thermal and visible sensor featuring automatic image-processing algorithms. While the financial terms of the Marine Corps contract remain undisclosed, Thales's advanced imaging technology has gained broader traction across the U.S. military, having also been selected by the U.S. Army for testing under the XM30 program to replace the legacy M2 Bradley infantry fighting vehicle. (Source: Opex360)

Our view: *This is positive for Thales, with the 400-plus unit order likely worth approximately $15m-35m including hardware, integration and support, although the financial value has not been disclosed. The contract is therefore not financially material at group level, but the volume should provide production scale and support attractive margins given Minerva is a mature, readily integrated product. More importantly, the award establishes a strong US reference and meaningful upside could come from follow-on ACV orders and selection under the much larger US Army XM30 programme, where the camera is already undergoing evaluation.*

Thales wins deal to run Britain's Link 16 network

The UK Ministry of Defence concluded a £9.8 million non-competitive contract with Thales UK to support the Link 16 Network Management System. The agreement secures in-service support for an initial two years, with two one-year extension options and emergency out-of-hours coverage. Link 16 is NATO's standard tactical data link, allowing British aircraft, ships, and ground nodes to exchange real-time positional data. The MoD justified the award by noting that Thales holds exclusive proprietary rights and software ownership; disrupting this support would block Link 16 usage across the UK Flight Information Region. (Source: UK Defence Journal)

Our view: *This is a very small contract but positive for Thales, reinforcing its entrenched position in the UK's tactical communications architecture. The non-competitive award demonstrates the high switching costs and barriers to entry*

created by Thales's ownership of the relevant software and intellectual property. Although the initial £9.8m value is immaterial at group level, the two extension options and critical nature of Link 16 should provide good revenue visibility and potentially attractive service margins.

OCCAR signs Horizon Mid-Life-Upgrade Contract Amendment No. 2

OCCAR, Eurosam, and Naviris have signed Amendment No. 2 to the Horizon Mid-Life-Upgrade (MLU) contract. This cooperative French-Italian naval project aims to upgrade four Horizon-class frigates, addressing system obsolescence and enhancing survivability against evolving threats. Working with a joint industrial consortium of Naviris, Eurosam, Fincantieri, Naval Group, Thales, Leonardo, MBDA, and Sigen, the upgrade focuses on high-level Anti-Air Warfare (AAW) and Electronic Warfare (EW) domains. Key upgrades feature the integration of the next-generation PAAMS & LRR system, utilizing advanced ASTER Block 1 NT missiles, updated launchers, two new AESA radars, Leonardo's Kronos Grand Naval and Thales's SMART-L MM/N, and an open-architecture command-and-control system capable of defeating hypersonic, ballistic, and supersonic missiles alongside UAVs in saturation scenarios. (Source: Naval News)

Our view: *This is positive for the programme's partners and expands the content and visibility of the Horizon mid-life upgrade, although the amendment's incremental value has not been disclosed. Thales and Leonardo are the clearest beneficiaries through the SMART-L MM/N and Kronos Grand Naval radars, electronic warfare and combat-system content, while Fincantieri benefits through Naviris and platform-level integration. MBDA also benefits with the integration of ASTER Block 1 NT interceptors and updated launchers supporting higher missile and aftermarket content.*

From our stable

Below, we share links to some of our most recent and important publications on individual companies and the sector, for ease of reference.

Our recent reports

Leonardo: Continuity at the helm (13 August 2026)

Renk AG: Still rolling on (13 August 2026)

TKMS: Keeps getting better, TP up to €112 (13 August 2026)

MTU Aero Engines: Investment case intact post H1 results (12 August 2026)

Hensoldt: Still solid momentum in H2 and beyond (12 August 2026)

CSG: Strong H1, TP unchanged (11 August 2026)

BAE Systems Plc: Fair valuation reflecting a solid outlook, but some catalysts to watch (10 August 2026)

OHB: Finding its orbit (7 August 2026)

Renk AG: Q2-26 results: in line (6 August 2026)

Rolls-Royce: Momentum continuing to build beyond 2028 (4 August 2026)

Hensoldt: Q2-26 results: a beat on Q2 orders and revenues, FY26 guidance confirmed (31 July 2026)

Leonardo: Q2-26 results: Our first take (30 July 2026)

MTU Aero Engines: Q2-26 results: our first take (30 July 2026)

BAE Systems Plc: H1-26 results: a 4% beat on EPS, a strong FCF and guidance upgrade (30 July 2026)

Rolls-Royce: H1-26 results: a clear beat, with FY26 guidance upgrade (30 July 2026)

Fincantieri: Post H1 - more orders to come (30 July 2026)

Airbus: Positive Q2 results across the board (29 July 2026)

Safran: Still flying high on improved FY26 outlook (28 July 2026)

Exosens: H1 26 - first take (28 July 2026)

Safran: H1-26 results: a beat on EBIT and FCF, FY26 guidance raised (28 July 2026)

Theon International: H1 26 results - initial thoughts (27 July 2026)

Thales: Enhanced Visibility Underpins Buy Case (27 July 2026)

TKMS: Q3 FY26 preview and what next? (23 July 2026)

Thales: Better than expected H1-26 results, but DIS disappoints (23 July 2026)

Dassault Aviation: Better-than-expected H1-26 results, with Falcon orders finally bouncing (22 July 2026)

Airbus: A mid-term guidance, a €5bn buyback and a flight plan beyond 2029 (22 July 2026)

Theon International: H1 26 preview - Accretive deals... elevated leverage (20 July 2026)

CSG: Growing long-term concerns (16 July 2026)

Fincantieri: H1 preview and Underwater focus (16 July 2026)

Exosens: H1 26 preview - Steady (9 July 2026)

TKMS: Canada Submarine Deal Win (6 July 2026)

Sector/thematic reports

Aerospace and Defence: European A&D – 2026 outlook (13 January 2026)

European A&D – 2025 outlook (17 December 2024)

Flight quarters: Q1 24 – Back to the top (22 January 2024)

European A&D – 2024 outlook (8 December 2023)

European Defence: Lessons from Ukraine(12 April 2022)

Commercial Aerospace: No (jet)lag in competition (24 June 2021)

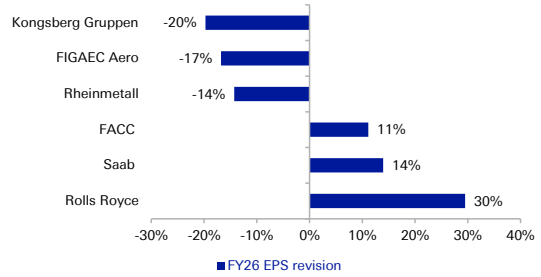
Aerospace & Defence: The Time is Now – Initiating on EU A&D with a constructive stance (10 February 2021)

EPS estimate revisions

EPS estimate revisions for European A&D stocks

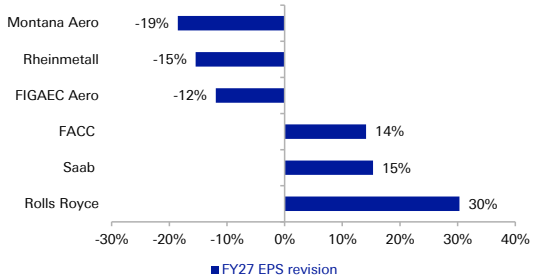
Below, we provide the top three upward and top three downward revisions to consensus EPS expectations for the European Aerospace & Defence names since the start of 2026.

Figure 1: FY26E EPS change



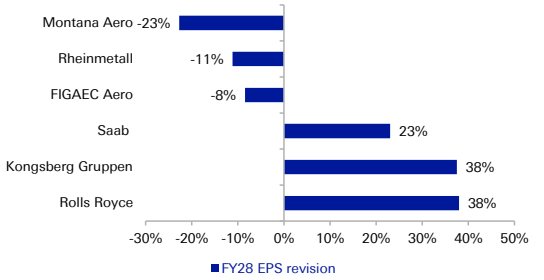
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 2: FY27E EPS change



Source : Deutsche Bank, Bloomberg Finance LP

Figure 3: FY28E EPS change

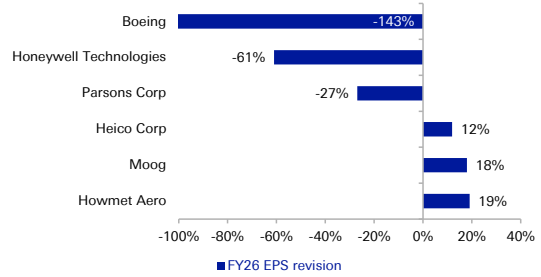


Source : Deutsche Bank, Bloomberg Finance LP

EPS estimate revisions for US A&D stocks

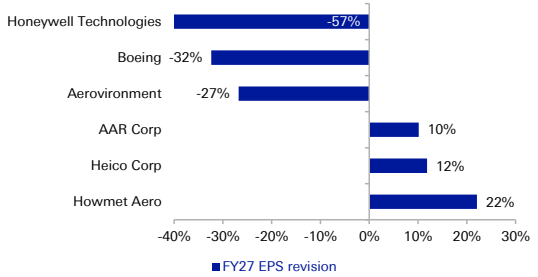
Below, we provide the top three upward and top three downward revisions to consensus EPS expectations for the US Aerospace names since the start of 2026.

Figure 4: FY26E EPS change



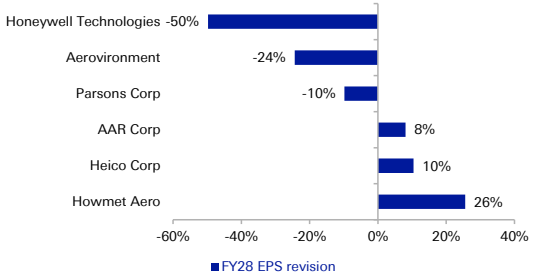
Source : Deutsche Bank, Bloomberg Finance LP

Figure 5: FY27E EPS change



Source : Deutsche Bank, Bloomberg Finance LP

Figure 6: FY28E EPS change

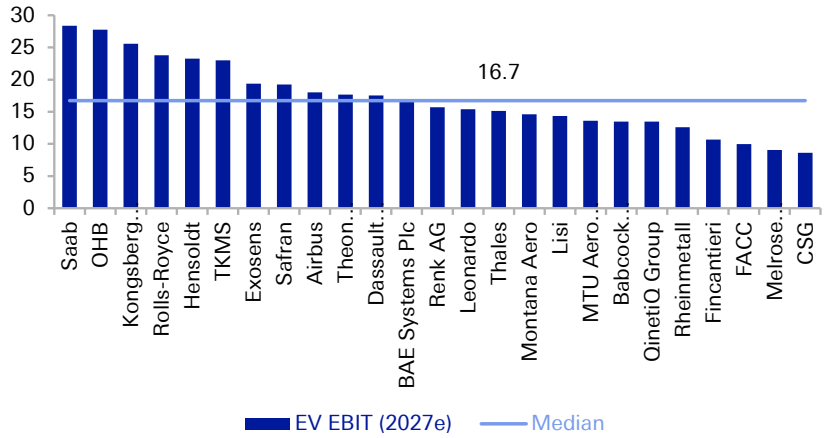


Source : Deutsche Bank, Bloomberg Finance LP

A&D stock trading multiples

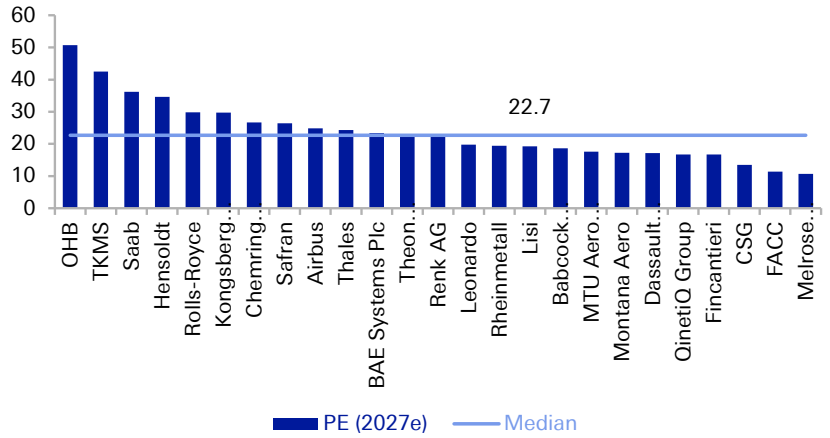
Europe A&D trading multiples

Figure 7: EV/EBIT multiples (FY27E)



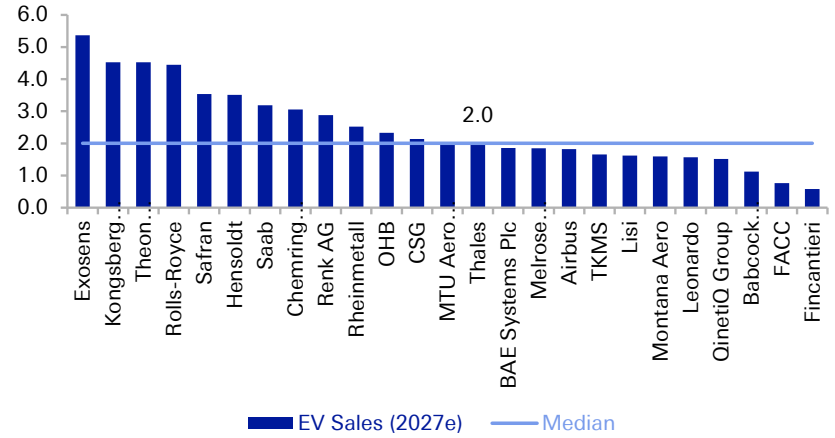
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 8: P/E multiples (FY27E)



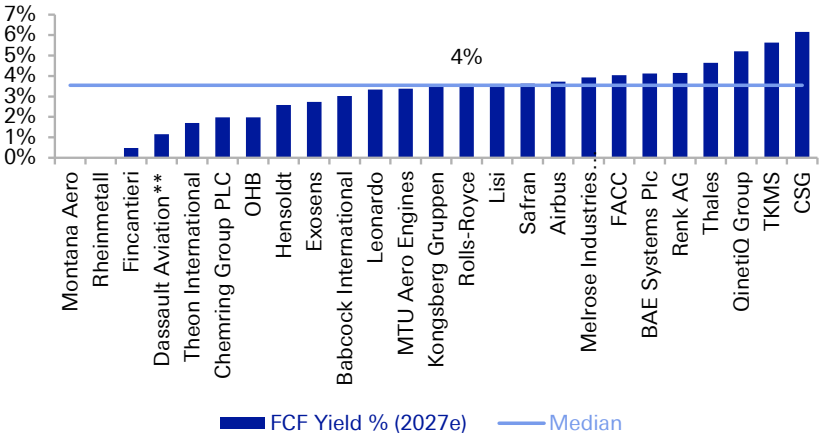
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 9: EV/sales multiples (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

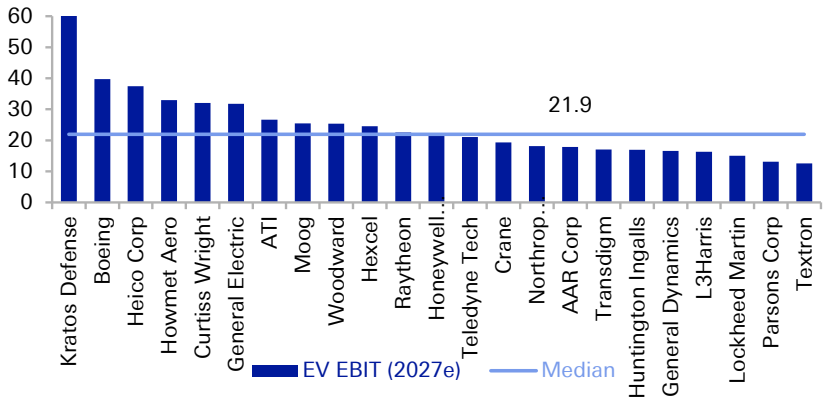
Figure 10: FCF yield % (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

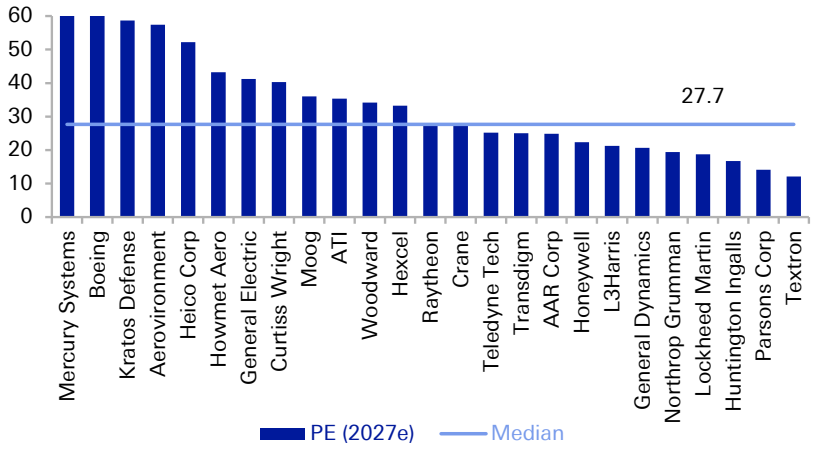
US A&D trading multiples

Figure 11: EV/EBIT multiples (FY27E)



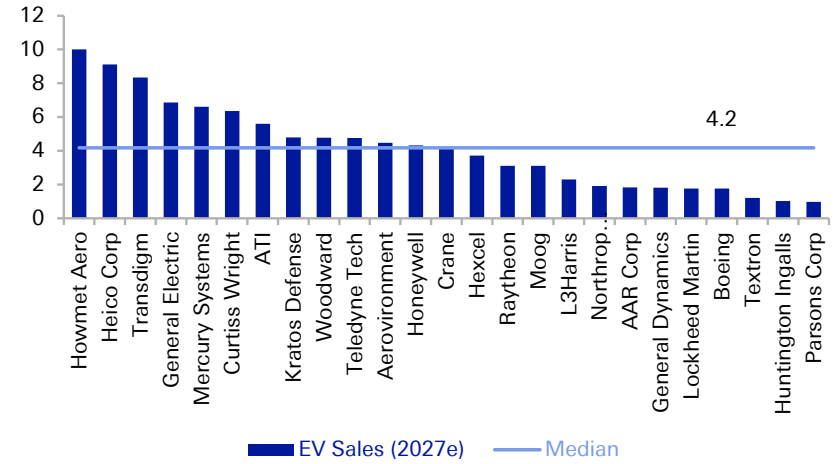
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 12: P/E multiples (FY27E)



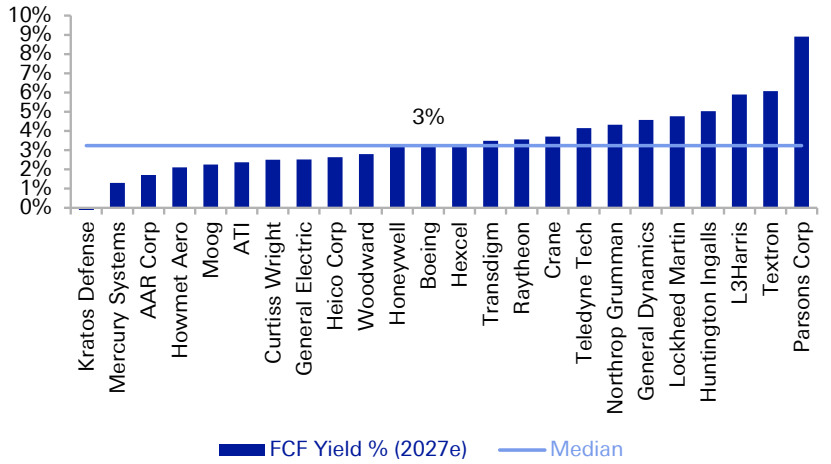
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 13: EV/sales multiples (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

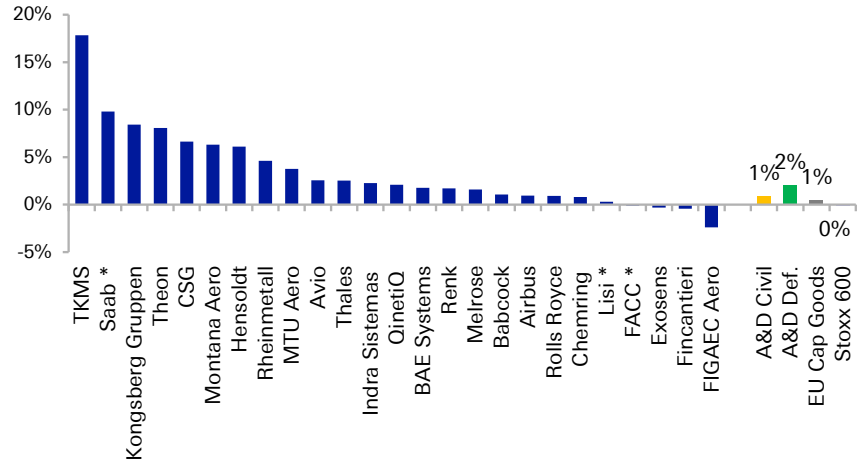
Figure 14: FCF yield % (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

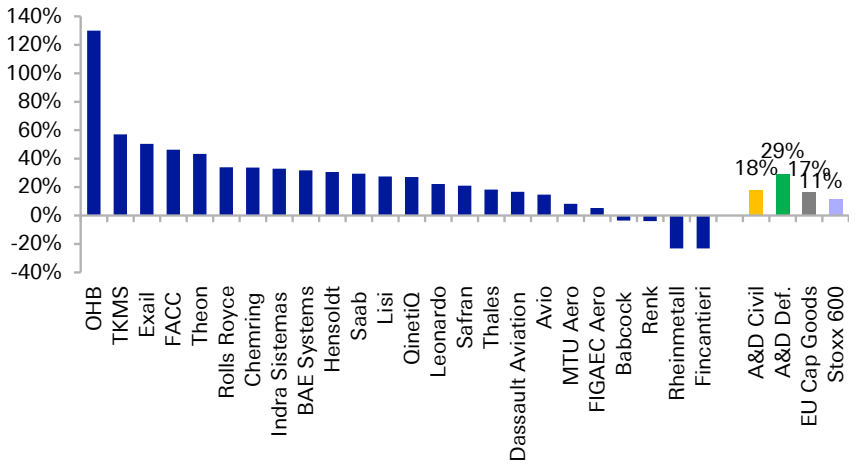
A&D share price performance

Figure 15: Europe A&D – last week's performance



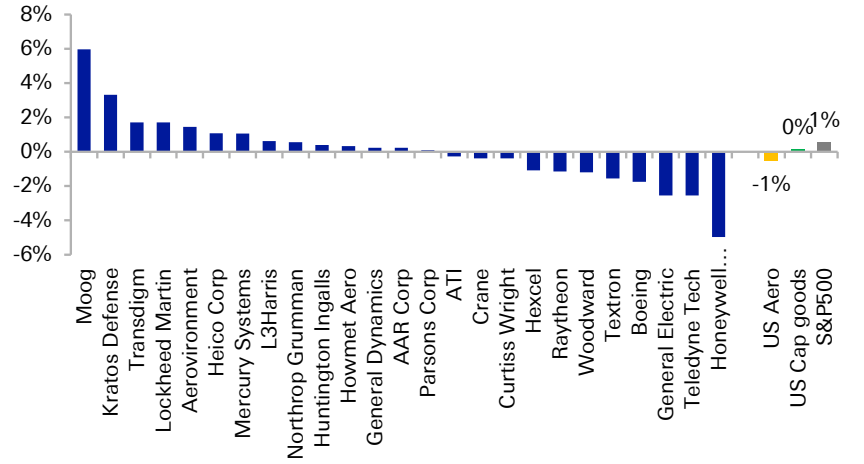
Source : Deutsche Bank, Bloomberg Finance LP

Figure 16: Europe A&D – YTD 2026 performance



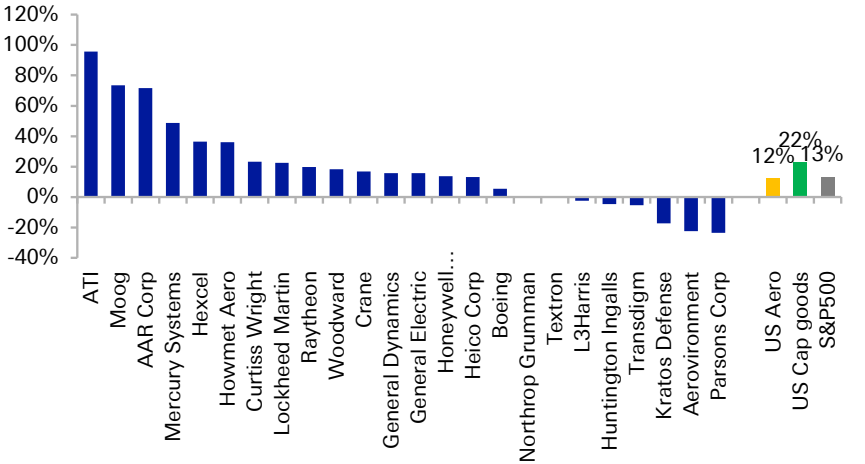
Source : Deutsche Bank, Bloomberg Finance LP

Figure 17: US A&D – last week's performance



Source : Deutsche Bank, Bloomberg Finance LP

Figure 18: US A&D – YTD 2026 performance



Source : Deutsche Bank, Bloomberg Finance LP

A&D sector valuation

Valuation table – listed major European A&D companies

Figure 19: European A&D sector valuation snapshot

Company Name	Lead Analyst	Currency	Current	Target	Upside/	Rating	EBIT Margin (%)			EV/Sales			EV/EBIT			PE			Dividend yield			FCF yield			FCF Conversion		
14/Aug/26			Price	Price	downside		2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
Airbus	Christophe Menard	EUR	215.6	232.0	8%	Buy	9.6%	10.1%	11.1%	2.0	1.8	1.6	21.1	18.0	14.0	28.3	24.8	19.5	1.6%	1.9%	2.6%	2.7%	3.7%	4.8%	59%	70%	71%
Safran	Christophe Menard	EUR	359.8	398.0	11%	Buy	18.0%	17.8%	18.6%	3.9	3.5	3.2	22.0	19.2	17.0	33.5	26.4	23.3	1.3%	1.7%	1.9%	3.3%	3.6%	4.2%	75%	73%	76%
MTU Aero Engines	Christophe Menard	EUR	384.7	435.0	13%	Buy	14.4%	14.7%	14.7%	2.3	2.0	1.8	15.7	13.6	12.1	20.4	17.6	15.7	1.2%	1.7%	2.5%	2.7%	3.4%	4.4%	40%	43%	50%
Rolls-Royce	Christophe Menard	GBP	1,544.0	1,705.0	10%	Buy	19.1%	18.7%	18.6%	5.1	4.4	3.9	26.8	23.8	21.0	34.3	29.8	26.0	0.9%	1.0%	1.1%	3.2%	3.6%	4.4%	88%	87%	95%
OHB	*Sriram Krishnan, CFA*	EUR	263.5	275.0	4%	Buy	7.5%	8.4%	9.2%	2.9	2.3	1.7	38.7	27.7	18.6	68.5	50.7	34.3	0.4%	0.6%	0.8%	1.3%	2.0%	3.5%	60%	67%	81%
Melrose Industries PLC	Richard Paige	GBP	493.2	570.0	16%	Hold	18.9%	20.5%	21.9%	2.0	1.8	1.7	10.7	9.0	7.6	13.0	10.7	9.1	1.7%	2.0%	2.4%	3.3%	3.9%	5.6%	27%	28%	34%
Lisi	*Not covered*	EUR	67.4	-	-	-	10.6%	11.3%	11.8%	1.8	1.6	1.5	16.8	14.3	12.5	23.6	19.3	16.7	0.9%	1.1%	1.2%	2.4%	3.6%	4.5%	38%	48%	52%
FACC	*Not covered*	EUR	16.8	-	-	-	6.0%	7.7%	8.3%	0.9	0.8	0.7	14.2	10.0	8.7	16.8	11.4	10.0	1.1%	1.8%	2.1%	4.7%	4.0%	5.7%	55%	33%	41%
Avio	*Not covered*	EUR	33.7	-	-	-	2.4%	1.8%	2.3%	1.7	1.5	1.4	70.5	84.6	58.6	116.0	125.6	103.5	0.4%	0.4%	0.4%				0%	0%	
Montana Aero	*Not covered*	CHF	26.9	-	-	-	9.2%	10.9%	12.1%	1.7	1.6	1.5	18.8	14.6	12.1	24.3	17.3	14.7	0.9%	1.6%							
FIGAEC Aero	*Not covered*	EUR	11.4	-	-	-	6.8%	7.5%	9.0%	1.6	1.4	1.3	23.4	19.0	14.3	44.3	24.9	14.6		0.0%		0.3%	2.5%	5.0%	5%	31%	46%
Civil median							**9.4%**	**10.5%**	**11.5%**	**1.9**	**1.7**	**1.5**	**21.5**	**18.5**	**14.2**	**30.5**	**24.9**	**18.1**	**1.0%**	**1.4%**	**1.5%**	**3.0%**	**3.6%**	**4.5%**	**55%**	**43%**	**62%**
BAE Systems Plc	Christophe Menard	GBP	2,259.0	2,325.0	3%	Hold	10.9%	11.1%	11.2%	2.1	1.9	1.7	19.0	16.7	15.1	26.7	23.4	21.0	1.7%	1.9%	2.1%	3.4%	4.1%	4.3%	62%	68%	65%
Thales	Christophe Menard	EUR	271.5	296.0	9%	Buy	12.7%	13.2%	13.6%	2.3	2.0	1.8	17.8	15.1	13.0	30.6	24.3	20.9	1.6%	1.9%	2.2%	4.4%	4.6%	5.7%	81%	74%	81%
Dassault Aviation**	Christophe Menard	EUR	317.6	330.0	4%	Hold	9.1%	9.6%	10.1%	2.0	1.8	1.5	21.3	17.5	14.2	20.7	17.1	14.5	1.4%	1.6%	2.0%	3.5%	1.2%	1.6%	110%	30%	30%
Renk AG	Christophe Menard	EUR	51.5	73.0	42%	Buy	17.9%	18.4%	18.8%	3.4	2.9	2.4	19.1	15.7	12.9	27.9	22.3	18.0	1.6%	2.2%	2.7%	3.6%	4.1%	5.0%	65%	63%	63%
Rheinmetall	Christoph Laskawi	EUR	1,199.4	1,800.0	50%	Buy	19.2%	20.0%	20.5%	3.6	2.5	1.9	18.6	12.6	9.4	29.1	19.5	14.8	1.3%	1.9%	2.5%	7.6%	0.0%	3.1%	151%	1%	31%
Leonardo	Christophe Menard	EUR	60.0	72.0	20%	Buy	9.5%	10.2%	11.1%	1.7	1.6	1.4	18.4	15.4	12.7	23.5	19.7	16.4	1.3%	1.6%	2.0%	3.5%	3.3%	3.8%	58%	46%	45%
Hensoldt	Christophe Menard	EUR	95.8	105.0	10%	Buy	13.6%	15.1%	16.5%	4.2	3.5	2.9	30.5	23.3	17.5	50.1	34.6	24.9	0.7%	1.0%	1.4%	1.9%	2.6%	3.5%	54%	56%	58%
QinetiQ Group	Richard Paige	GBP	565.0	600.0	6%	Buy	11.3%	11.2%	11.3%	1.4	1.5	1.4	12.4	13.5	12.7	15.3	16.7	15.3	1.9%	2.1%	2.3%	5.3%	5.2%	6.4%	73%	70%	82%
Chemring Group PLC	Richard Paige	GBP	632.0	650.0	3%	Buy	15.0%	15.6%	16.1%	3.4	3.1	2.8	22.4	19.6	17.2	30.3	26.7	24.0	1.3%	1.5%	1.7%	0.0%	2.0%	3.9%	0%	35%	63%
Babcock International	James Beard	GBP	1,199.0	1,100.0	-8%	Hold	5.7%	8.4%	8.7%	1.2	1.1	1.0	20.5	13.5	11.9	29.3	18.7	16.4	0.6%	0.8%	0.9%	4.4%	3.0%	4.2%	89%	39%	50%
Fincantieri	Sriram Krishnan, CFA	EUR	12.8	19.0	48%	Buy	4.3%	5.4%	6.0%	0.6	0.6	0.5	15.0	10.7	8.7	25.1	16.7	12.8	0.0%	1.2%	1.9%	-1.2%	0.5%	3.6%	-14%	4%	26%
Exosens	Sriram Krishnan, CFA	EUR	63.1	60.0	-5%	Hold	27.5%	27.7%	28.1%	6.2	5.4	4.4	22.5	19.4	15.8	31.1	26.9	22.0	0.6%	0.8%	1.0%	2.3%	2.7%	3.2%	50%	51%	49%
Theon International	Sriram Krishnan, CFA	EUR	38.0	39.0	3%	Buy	25.4%	25.6%	26.6%	5.9	4.5	3.7	23.1	17.7	14.0	27.9	22.7	17.2	0.9%	1.1%	1.5%	0.5%	1.7%	3.2%	10%	25%	38%
TKMS	Sriram Krishnan, CFA	EUR	103.8	112.0	8%	Buy	6.6%	7.2%	7.5%	2.0	1.7	1.3	30.5	23.0	16.7	52.5	42.5	33.5	0.0%	0.7%	1.0%	4.0%	5.6%	4.9%	164%	189%	128%
CSG	Sriram Krishnan, CFA	EUR	18.9	25.0	32%	Buy	24.6%	24.8%	25.1%	2.6	2.1	1.7	10.5	8.6	6.9	16.4	13.5	11.3	0.0%	2.2%	2.9%	5.6%	6.2%	7.7%	57%	54%	57%
Saab	*Not covered*	SEK	695.4	-	-	-	10.8%	11.2%	11.7%	3.9	3.2	2.7	35.9	28.4	23.2	46.2	36.2	29.4	0.5%	0.6%	0.8%	0.8%	1.2%	2.0%	29%	33%	47%
Kongsberg Gruppen	*Not covered*	NOK	336.8	-	-	-	16.6%	17.7%	18.4%	6.9	4.5	3.5	41.5	25.6	18.8	47.1	29.8	21.7	1.4%	2.0%	3.0%	1.7%	3.5%	5.4%	72%	91%	102%
Indra Sistemas	*Not covered*	EUR	64.6	-	-	-	10.3%	10.7%	11.3%	1.6	1.4	1.3	15.6	13.2	11.3	23.5	19.8	16.8	0.7%	0.8%	0.9%	4.5%	4.7%	5.8%	73%	64%	68%
Exail	*Not covered*	EUR	124.3	-	-	-	16.0%	18.5%	19.8%	3.9	3.1	2.6	24.4	16.6	13.1	88.7	32.0	23.7	0.0%	0.0%		2.3%	3.1%	4.5%	53%	49%	56%
Defence median							**12.0%**	**12.2%**	**12.6%**	**2.4**	**2.1**	**1.8**	**20.5**	**16.6**	**13.1**	**29.1**	**22.7**	**18.0**	**1.1%**	**1.6%**	**2.0%**	**3.5%**	**3.1%**	**4.1%**	**63%**	**50%**	**57%**
UK median							**11.1%**	**11.2%**	**11.3%**	**2.0**	**1.9**	**1.7**	**21.2**	**18.1**	**15.1**	**29.8**	**25.0**	**20.9**	**1.1%**	**1.3%**	**1.4%**	**3.3%**	**3.3%**	**4.3%**	**68%**	**53%**	**71%**
EU median							**10.6%**	**11.2%**	**11.8%**	**2.3**	**2.0**	**1.7**	**21.2**	**17.0**	**13.6**	**28.7**	**23.5**	**17.6**	**0.9%**	**1.6%**	**2.0%**	**2.7%**	**3.3%**	**4.4%**	**57%**	**48%**	**52%**
European A&D Sector median							**10.9%**	**11.2%**	**11.8%**	**2.0**	**1.9**	**1.7**	**21.1**	**16.7**	**14.0**	**29.1**	**23.4**	**18.0**	**1.0%**	**1.6%**	**1.9%**	**3.3%**	**3.4%**	**4.4%**	**59%**	**48%**	**57%**
European A&D Sector average / mean							**12.7%**	**13.4%**	**14.1%**	**2.7**	**2.3**	**2.0**	**23.2**	**19.3**	**15.4**	**35.4**	**27.4**	**22.0**	**1.0%**	**1.3%**	**1.7%**	**3.0%**	**3.1%**	**4.3%**	**60%**	**51%**	**60%**

uncovered stocks data is from Bloomberg
** Dassault EV excluding Thales value

*Source : Deutsche Bank Research , Bloomberg Finance LP for non-covered companies; *Based on closing prices as of 13 August 2026*

Valuation table – listed major US A&D companies

Figure 20: US A&D sector valuation snapshot

Company Name	Lead Analyst	Currency	Current	Target	Upside/	Rating	EBIT Margin (%)			EV/Sales			EV/EBIT			PE			Dividend yield			FCF yield			FCF Conversion		
14/Aug/26			Price	Price	downside		2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
General Electric	Scott Deuschle	USD	361	450	25%	Buy	21.4%	21.6%	22.3%	7.6	6.9	6.2	35.6	31.7	27.8	45.8	41.2	35.7	0.5%	0.6%	0.7%	2.4%	2.5%	2.8%	84%	79%	77%
Raytheon	Scott Deuschle	USD	220	238	8%	Buy	13.2%	13.8%	14.4%	3.4	3.1	2.8	25.5	22.5	19.8	30.8	27.7	24.9	1.3%	1.4%	1.5%	2.9%	3.6%	4.0%	68%	74%	75%
Honeywell Technologie	Nicole DeBlase	USD	234	282	21%	Buy	17.3%	19.7%	27.4%	4.4	4.3	4.6	25.3	21.9	16.8	28.1	22.4	18.2	1.9%	1.6%	1.9%	2.7%	3.2%	5.4%	57%	58%	67%
Boeing	Scott Deuschle	USD	230	248	8%	Hold	0.9%	4.4%	7.0%	2.1	1.8	1.5	NM	39.8	21.9	NM	66.6	30.0	0.0%	0.1%	0.5%	1.6%	3.2%	6.1%	343%	117%	128%
Lockheed Martin	Scott Deuschle	USD	598	581	-3%	Hold	11.9%	11.7%	11.6%	1.9	1.8	1.7	15.6	15.0	14.3	19.9	18.8	17.3	2.4%	2.5%	2.6%	5.2%	4.8%	5.1%	74%	66%	67%
General Dynamics	Scott Deuschle	USD	393	384	-2%	Hold	10.5%	10.9%	11.0%	2.0	1.8	1.7	18.5	16.6	15.6	22.9	20.6	19.3	1.6%	1.7%	1.8%	4.7%	4.6%	4.9%	84%	76%	76%
Northrop Grumman	Scott Deuschle	USD	575	615	7%	Buy	10.5%	10.5%	10.7%	2.0	1.9	1.8	19.6	18.1	17.0	19.9	19.4	17.8	1.7%	1.8%	1.9%	4.1%	4.3%	4.4%	73%	71%	68%
Transdigm	Scott Deuschle	USD	1,246	1,361	9%	Hold	48.6%	49.0%	49.9%	9.4	8.3	7.7	19.3	17.0	15.3	30.0	25.1	21.8	5.6%	2.0%	4.8%	2.9%	3.5%	4.0%	39%	42%	45%
L3Harris	Scott Deuschle	USD	288	285	-1%	Hold	13.3%	14.1%	14.8%	2.6	2.3	2.1	19.3	16.3	14.0	24.9	21.3	18.5	1.7%	1.8%	1.9%	5.7%	5.9%	6.6%	97%	87%	86%
Howmet Aero	Scott Deuschle	USD	283	343	21%	Buy	29.7%	30.3%	31.9%	11.5	10.0	8.6	38.6	33.0	27.0	53.1	43.2	34.8	0.2%	0.2%	0.3%	1.9%	2.1%	2.6%	71%	68%	70%
Heico Corp	Scott Deuschle	USD	372	403	8%	Buy	23.9%	24.4%	24.8%	10.3	9.1	8.2	42.9	37.4	33.1	61.2	52.2	45.2	0.1%	0.1%	0.1%	2.3%	2.6%	2.9%	78%	80%	79%
Huntington Ingalls	Scott Deuschle	USD	326	304	-7%	Hold	5.6%	6.0%	6.2%	1.1	1.0	0.9	19.3	17.0	15.4	17.3	16.7	15.4	1.7%	1.8%	1.9%	4.6%	5.0%	5.7%	76%	75%	78%
Hexcel	Scott Deuschle	USD	102	100	-2%	Hold	13.2%	15.1%	16.7%	4.1	3.7	3.3	30.9	24.6	20.0	42.9	33.3	26.7	0.7%	0.8%	0.9%	2.6%	3.3%	3.9%	73%	74%	73%
Woodward	Scott Deuschle	USD	359	502	40%	Buy	18.3%	18.8%	19.9%	5.1	4.8	4.4	27.8	25.4	21.9	37.9	34.2	29.4	0.3%	0.4%	0.4%	1.6%	2.8%	3.3%	43%	68%	69%
Crane	Scott Deuschle	USD	219	248	13%	Buy	20.2%	21.6%	22.9%	4.6	4.2	3.8	22.6	19.3	16.6	31.9	27.5	23.9	0.5%	0.5%	0.5%	3.1%	3.7%	4.3%	67%	71%	74%
ATI	Scott Deuschle	USD	227	262	15%	Buy	19.1%	21.0%	22.1%	6.2	5.6	5.1	32.3	26.7	23.1	44.6	35.4	30.3				1.9%	2.4%	2.9%	60%	62%	66%
Teledyne Tech	*Not Covered*	USD	674	-	-	-	22.5%	22.6%	23.0%	5.0	4.8	4.6	22.3	21.0	19.8	27.3	25.2	23.4	0.0%	0.0%	0.0%	3.6%	4.1%	4.4%	75%	83%	82%
Textron	*Not Covered*	USD	88	-	-	-	9.3%	9.6%	10.0%	1.3	1.2	1.2	13.6	12.6	11.8	13.6	12.1	11.0	0.1%	0.1%	0.1%	5.0%	6.1%	7.1%	53%	59%	65%
Curtiss Wright	*Not Covered*	USD	689	-	-	-	19.2%	19.8%	20.4%	6.9	6.4	5.9	35.8	32.1	28.8	45.2	40.3	35.9	0.1%	0.1%	0.2%	2.3%	2.5%	2.7%	81%	78%	77%
Parsons Corp	*Not Covered*	USD	48	-	-	-	5.2%	7.4%	8.0%	1.0	1.0	0.9	20.0	13.1	11.5	19.3	14.1	12.4	0.0%	0.0%	0.0%	7.4%	8.9%	10.0%	114%	90%	89%
Moog	*Not Covered*	USD	427	-	-	-	12.5%	12.2%	11.8%	3.3	3.1	2.9	26.7	25.5	24.6	36.5	36.0		0.3%	0.3%	0.3%	2.0%	2.3%	1.8%	48%	53%	40%
Aerovironment	*Not Covered*	USD	189	-	-	-	-13.3%	0.5%	3.3%	5.2	4.5	3.9	NM	NM	NM	66.0	57.4	42.4				-0.2%	-0.7%	2.4%	NM	NM	274%
Kratos Defense	*Not Covered*	USD	63	-	-	-	1.2%	4.3%	6.2%	5.9	4.8	4.0	NM	110.2	65.1	78.3	58.6	46.9				-0.8%	-0.2%	0.5%	NM	-25%	37%
AAR Corp	*Not Covered*	USD	143	-	-	-	10.1%	10.3%	10.7%	2.0	1.8	1.7	20.2	17.9	16.1	29.3	24.8	21.9				1.2%	1.7%	2.0%	21%	26%	27%
Mercury Systems	*Not Covered*	USD	110	-	-	-	0.4%	5.5%	9.6%	7.2	6.6	6.0	NM	NM	62.8	102.1	72.7	51.4				0.9%	1.3%	2.2%	NM	149%	133%
FTAI	Shannon Doherty	USD	216	290	34%	Buy	25.6%	30.1%	29.0%	6.8	4.1	3.2				17.7	11.1	9.7	0.8%	0.8%	0.8%	5.8%	8.7%	9.9%	133%	108%	110%
US A&D Sector median							**12.5%**	**12.2%**	**11.8%**	**4.4**	**4.2**	**3.8**	**22.6**	**21.9**	**19.8**	**30.8**	**27.6**	**23.9**	**0.4%**	**0.4%**	**0.5%**	**2.6%**	**3.2%**	**4.0%**	**73%**	**71%**	**73%**
US A&D Sector average / mean							**13.5%**	**15.2%**	**16.5%**	**4.6**	**4.1**	**3.8**	**24.8**	**26.7**	**23.3**	**38.7**	**33.8**	**27.0**	**1%**	**1%**	**1%**	**2.9%**	**3.4%**	**4.1%**	**81%**	**69%**	**81%**

*Source : Deutsche Bank Research, Bloomberg Finance LP; *Based on closing prices as of 13 August 2026*

Absolute and relative share price performance – European A&D stocks

Figure 21: European A&D sector share price performance

Company Name	Currency	Current Price	Absolute performance %						vs 52 week High	vs 52 week Low	Relative performance % (vs Stoxx 600)					
			1W	1M	3M	6M	12M	YTD			1W	1M	3M	6M	12M	YTD
Airbus	EUR	216	1%	10%	25%	12%	17%	8%	-3%	37%	1%	7%	18%	5%	-2%	-3%
Safran	EUR	360	1%	10%	27%	8%	23%	21%	-2%	37%	1%	7%	20%	1%	3%	10%
MTU Aero	EUR	385	4%	10%	34%	-2%	-1%	8%	-5%	45%	4%	7%	27%	-9%	-20%	-3%
Rolls Royce	GBP	1,544	1%	10%	29%	21%	40%	34%	-3%	52%	1%	7%	22%	15%	21%	23%
Melrose	GBP	493	2%	6%	1%	-23%	-17%	-16%	-28%	20%	2%	3%	-6%	-30%	-37%	-27%
Lisi *	EUR	67	0%	2%	5%	14%	45%	27%	-7%	79%	0%	-1%	-2%	7%	26%	16%
FACC *	EUR	17	0%	-2%	16%	47%	139%	46%	-15%	143%	0%	-5%	9%	40%	120%	35%
Avio	EUR	34	3%	9%	14%	163%	23%	15%	-36%	44%	3%	6%	7%	157%	4%	3%
OHB	EUR	264	14%	-1%	-42%	2%	284%	130%	-61%	321%	14%	-3%	-49%	-5%	265%	119%
Montana Aero	CHF	27	6%	25%	17%	-18%	2%	-5%	-24%	36%	6%	22%	10%	-25%	-17%	-16%
FIGAEC Aero	EUR	11	-2%	3%	8%	19%	10%	5%	-12%	27%	-2%	0%	1%	13%	-9%	-6%
Civil median			**1%**	**7%**	**15%**	**13%**	**23%**	**18%**	**-10%**	**45%**	**1%**	**5%**	**8%**	**6%**	**4%**	**7%**
BAE Systems	GBP	2,259	2%	22%	17%	15%	27%	32%	-4%	42%	2%	19%	10%	8%	8%	21%
Thales	EUR	272	3%	23%	22%	11%	14%	18%	-3%	28%	3%	21%	15%	4%	-5%	7%
Dassault Aviation	EUR	318	0%	12%	12%	-4%	15%	17%	-12%	22%	1%	9%	5%	-10%	-4%	5%
Renk	EUR	52	2%	20%	14%	-10%	-16%	-4%	-43%	28%	2%	17%	7%	-17%	-35%	-15%
Rheinmetall	EUR	1,199	5%	22%	5%	-25%	-27%	-23%	-40%	33%	5%	20%	-2%	-32%	-46%	-34%
Leonardo	EUR	60	3%	18%	20%	11%	26%	22%	-9%	39%	4%	15%	13%	4%	7%	11%
Hensoldt	EUR	96	6%	31%	27%	19%	12%	31%	-19%	52%	6%	28%	20%	12%	-7%	19%
Saab *	SEK	695	10%	33%	41%	9%	34%	29%	-7%	56%	10%	30%	34%	2%	15%	18%
Kongsberg Gruppen	NOK	337	8%	21%	15%	10%	35%	56%	-5%	78%	9%	18%	8%	3%	16%	45%
QinetiQ	GBP	565	2%	25%	35%	15%	16%	27%	-2%	42%	2%	22%	28%	8%	-3%	16%
Babcock	GBP	1,199	1%	18%	23%	-8%	21%	-3%	-21%	33%	1%	16%	16%	-14%	2%	-15%
Chemring	GBP	632	1%	18%	34%	23%	17%	34%	-3%	41%	1%	15%	27%	16%	-2%	23%
Fincantieri	EUR	13	0%	7%	13%	-21%	-28%	-23%	-53%	33%	0%	4%	5%	-28%	-47%	-34%
Indra Sistemas	EUR	65	2%	32%	27%	26%	86%	33%	-2%	100%	2%	29%	20%	20%	67%	22%
Exosens	EUR	63	0%	11%	9%	12%	56%	30%	-15%	74%	0%	8%	2%	5%	37%	19%
Exail	EUR	124	0%	0%	9%	12%	8%	50%	-22%	76%	0%	-2%	2%	5%	-11%	39%
Theon	EUR	38	8%	21%	28%	25%	54%	43%	-4%	73%	8%	18%	21%	18%	35%	32%
TKMS	EUR	104	18%	26%	43%	12%		57%	-5%	82%	18%	23%	36%	5%		46%
CSG	EUR	19	7%	34%	17%			-24%	-47%	55%	7%	32%	10%			-36%
Defence median			**2%**	**21%**	**20%**	**11%**	**17%**	**29%**	**-9%**	**42%**	**2%**	**18%**	**13%**	**4%**	**-2%**	**18%**
UK median			**1%**	**18%**	**23%**	**15%**	**21%**	**32%**	**-4%**	**42%**	**1%**	**15%**	**16%**	**8%**	**2%**	**21%**
EU median			**2%**	**11%**	**16%**	**11%**	**20%**	**22%**	**-12%**	**45%**	**3%**	**9%**	**9%**	**4%**	**1%**	**10%**
European A&D Sector median			**2%**	**15%**	**17%**	**11%**	**19%**	**22%**	**-9%**	**42%**	**2%**	**12%**	**10%**	**4%**	**0%**	**10%**
European A&D Sector average / mean			**3%**	**14%**	**17%**	**13%**	**33%**	**23%**	**-15%**	**59%**	**3%**	**12%**	**10%**	**7%**	**14%**	**12%**

*Source : Deutsche Bank, company data; *Based on closing prices as of 13 August 2026*

Absolute and relative share price performance – US A&D stocks

Figure 22: US A&D sector share price performance

Company Name	Currency	Current Price	Absolute performance %						vs 52 week High	vs 52 week Low	Relative performance % (vs S&P 500)					
			1W	1M	3M	6M	12M	YTD			1W	1M	3M	6M	12M	YTD
Boeing	USD	230	-2%	6%	0%	-5%	-1%	5%	-9%	30%	-2%	3%	-3%	-19%	-22%	-8%
Honeywell Technolog	USD	234	-5%	5%	3%	-8%	9%	14%	-10%	20%	-5%	2%	-1%	-22%	-12%	1%
General Electric	USD	361	-3%	2%	24%	14%	34%	16%	-7%	37%	-3%	-1%	20%	0%	13%	3%
Raytheon	USD	220	-1%	14%	26%	10%	42%	20%	-3%	46%	-2%	11%	22%	-4%	22%	7%
Transdigm	USD	1246	2%	3%	6%	-3%	-12%	-5%	-15%	11%	1%	-1%	2%	-17%	-32%	-18%
Heico Corp	USD	372	1%	8%	25%	12%	19%	13%	-1%	45%	1%	4%	21%	-2%	-1%	0%
Teledyne Tech	USD	674	-3%	8%	5%	2%	24%	30%	-3%	39%	-3%	5%	2%	-12%	4%	17%
Howmet Aero	USD	283	0%	2%	4%	13%	61%	36%	-9%	67%	0%	-1%	0%	-1%	40%	23%
Textron	USD	88	-2%	-2%	-4%	-10%	10%	0%	-13%	13%	-2%	-5%	-8%	-24%	-11%	-13%
Curtiss Wright	USD	689	0%	-8%	-8%	1%	40%	23%	-15%	48%	-1%	-12%	-12%	-13%	19%	10%
Hexcel	USD	102	-1%	0%	11%	14%	64%	37%	-8%	70%	-2%	-3%	7%	0%	43%	23%
Parsons Corp	USD	48	0%	-12%	-7%	-25%	-40%	-24%	-47%	31%	0%	-15%	-11%	-39%	-61%	-37%
Mercury Systems	USD	110	1%	9%	16%	33%	64%	49%	-15%	75%	1%	6%	12%	19%	44%	36%
Moog	USD	427	6%	9%	36%	32%	124%	73%	-2%	127%	5%	6%	32%	17%	103%	60%
AAR Corp	USD	143	0%	7%	32%	27%	86%	72%	-7%	100%	0%	3%	28%	13%	65%	59%
Woodward	USD	359	-1%	-10%	-2%	-5%	46%	18%	-20%	54%	-2%	-13%	-6%	-20%	26%	5%
Crane	USD	219	0%	1%	22%	9%	15%	17%	-5%	37%	-1%	-2%	18%	-5%	-6%	4%
ATI	USD	227	0%	20%	40%	58%	207%	96%	-7%	223%	-1%	17%	36%	44%	186%	83%
Civil median			**0%**	**4%**	**8%**	**10%**	**37%**	**19%**	**-9%**	**46%**	**-1%**	**0%**	**4%**	**-4%**	**16%**	**6%**
Lockheed Martin	USD	598	2%	16%	15%	-8%	37%	23%	-14%	38%	1%	13%	11%	-22%	16%	9%
General Dynamics	USD	393	0%	6%	15%	13%	24%	16%	-2%	28%	0%	3%	11%	-1%	4%	3%
Northrop Grumman	USD	575	1%	9%	5%	-18%	-2%	0%	-26%	20%	0%	5%	1%	-32%	-22%	-13%
L3Harris	USD	288	1%	-1%	-6%	-17%	6%	-2%	-24%	10%	0%	-4%	-10%	-31%	-14%	-15%
Huntington Ingalls	USD	326	0%	16%	-3%	-22%	22%	-5%	-29%	24%	0%	13%	-7%	-36%	1%	-18%
Kratos Defense	USD	63	3%	25%	14%	-29%	-9%	-17%	-53%	46%	3%	21%	11%	-44%	-30%	-30%
Aerovironment	USD	189	1%	32%	15%	-22%	-24%	-22%	-55%	40%	1%	29%	11%	-36%	-45%	-35%
Defence median			**1%**	**16%**	**14%**	**-18%**	**6%**	**-2%**	**-26%**	**28%**	**0%**	**13%**	**11%**	**-32%**	**-14%**	**-15%**
US A&D Sector median			**0%**	**4%**	**8%**	**10%**	**37%**	**19%**	**-9%**	**46%**	**-1%**	**0%**	**4%**	**-4%**	**16%**	**6%**
US A&D Sector average / mean			**0%**	**3%**	**13%**	**9%**	**44%**	**27%**	**-11%**	**60%**	**-1%**	**0%**	**9%**	**-5%**	**23%**	**14%**

*Source : Deutsche Bank, company data; *Based on closing prices as of 13 August 2026*



Appendix 1

Important Disclosures

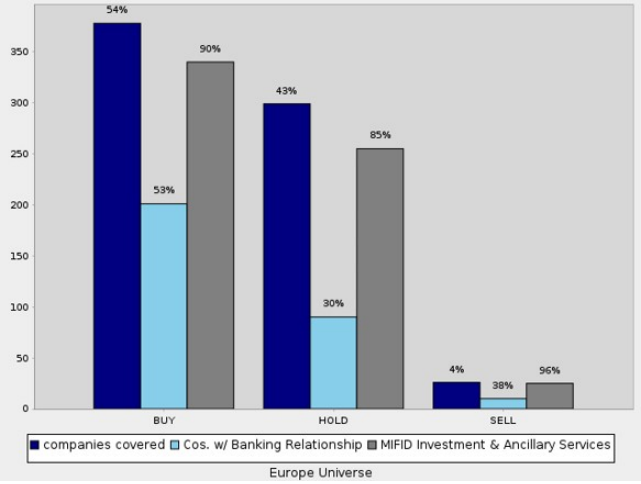
*Other information available upon request

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Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the “buy” / “Companies Covered” bar means that 50% of DB’s equity research covered companies over the past 12 months have a “buy” rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the “Cos. w/ MIFID Investment and Ancillary Services” bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold) recommendations where Deutsche Bank and or/Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the “Cos. w/ Investment Banking relationship” bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

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Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

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